

26STCV00160 26STCV00160

County: los-angeles

Division: Civil Law and Motion

Department: 730

Hearing date: 2026-08-04

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Case Number: 26STCV00160 Hearing Date: August 4, 2026 Dept: 730

Superior Court of

California

County of Los Angeles

Department

730

JONATHAN

BECERRA,

Plaintiff,

vs.

BERGEN

SHIPPERS CORP, et al.,

Defendants.

Case No.:

26STCV00160

Hearing

Date:

August 4,

ORDER

DENYING MOTION TO COMPEL ARBITRATION

I. BACKGROUND

Plaintiff Jonathan Becerra

(“Becerra”) was wrongfully terminated from his employment with Defendants Bergen Shippers Corp (“BSC”) and Bergen Logistics (“BL”) after Becerra made official complaints regarding workplace safety. Becerra sued Defendants for nine causes of action, including wrongful termination and failure to abide by Labor Code requirements.

On June 22, 2026, BSC filed the instant motion to compel arbitration and stay litigation. Becerra filed an opposition. BSC filed a reply brief.

II. LEGAL
STANDARD

Under both the Federal Arbitration

Act and California law, arbitration agreements are valid, irrevocable, and enforceable, except on such grounds that exist at law or equity for voiding a contract. (Winter v. Window Fashions Professions, Inc. (2008) 166 Cal.App.4th 943, 947.) The party moving to compel arbitration must establish the existence of a written arbitration agreement between the parties. (Code Civ. Proc. § 1281.2[1].)

This is usually done by presenting a copy of the signed, written agreement to the court. “A petition to compel arbitration or to stay proceedings pursuant to Code of Civil Procedure sections 1281.2 and 1281.4 must state, in addition to other required allegations, the provisions of the written agreement and the paragraph that provides for arbitration. The provisions must be stated verbatim or a copy must be physically or electronically attached to the petition and incorporated by reference.” (Cal. Rules of Court, rule 3.1330.) The moving party must also establish the other party’s refusal to arbitrate the controversy. (Code Civ. Proc. § 1281.2.) The filing of a lawsuit against the moving party for a controversy clearly within the scope of the arbitration agreement affirmatively establishes the other party’s refusal to arbitrate the controversy. (Hyundai Amco America, Inc. v. S3H, Inc. (2014) 232

Cal.App.4th 572, 577.)

“Code of Civil Procedure section 1281.2 requires a trial court to grant a petition to compel arbitration ‘if the court determines that an agreement to arbitrate the controversy exists.’” (Avery v. Integrated Healthcare Holdings, Inc. (2013) 218 Cal.App.4th 50, 59 (Avery) (quoting CCP § 1281.2).) Accordingly, “when presented with a petition to compel arbitration, the court’s first task is to determine whether the parties have in fact agreed to arbitrate the dispute.” (Ibid.) A petition to compel arbitration is in essence a suit in equity to compel specific performance of a contract. (Id. at 71.) As with any other specific performance claim, “a party seeking to enforce an arbitration agreement must show the agreement’s terms are sufficiently definite to enable the court to know what it is to enforce.” (Ibid. [internal citations omitted].) “Only the valid and binding agreement of the parties, including all material terms well-defined and clearly expressed, may be ordered specifically performed.” (Ibid.) An arbitration agreement “must be so interpreted as to give effect to the mutual intention of the parties as it existed at the time of contracting, so far as the same is ascertainable and lawful.” (Civ. Code § 1636.) The language of the contract governs its interpretation if it is clear and explicit. (Civ. Code § 1368.) If uncertainty exists, “the language of a contract should be interpreted most strongly against the party who caused the uncertainty to exist.” (Civ. Code § 1654.)

The party seeking to compel arbitration bears the burden of proving the existence of a valid arbitration agreement by the preponderance of the evidence. (Engalla v. Permanente Medical Group, Inc. (1997) 15 Cal.4th 951, 972.) It would then be plaintiff’s burden, in opposing the motion, to prove by a preponderance of the evidence any fact necessary to her opposition. (Ibid.) “In these summary proceedings the trial court sits as a trier of fact, weighing all the affidavits, declarations, and other documentary evidence, as well as oral testimony received at the court’s discretion, to reach a final determination. (Ibid.)

III. DISCUSSION

The Court first notes this motion is not barred by section 1008(b) as it is not a motion for reconsideration. The previous motion to compel arbitration was denied without prejudice, providing opportunity for BSC to file a new motion to compel arbitration.

BSC argues this action is subject to arbitration as Becerra entered into a valid arbitration agreement with BSC, agreeing to resolve any disputes arising from Becerra's employment via binding arbitration. For the Court to grant a motion to compel arbitration, the moving party must demonstrate the existence of a valid arbitration agreement and the other party's refusal to arbitrate the controversy. (§ 1281.2.)

A. Existence of Arbitration Agreement

BSC provided provide a copy of a prima facie valid arbitration agreement between BL and Becerra. It is undisputed Becerra and BL signed and executed an arbitration agreement on September 23, 2024. (Mot., Ramos Decl. ¶ 5, Ex. A.) The agreement, in pertinent part, provides as follows:

"As an express condition of Bergen Logistics considering, you for hire, hiring you or continuing to employ you, you and the Company and your and its representatives, successors and assigns, agree that:

(i) all ... disputes, controversies, and claims of any nature ... arising out of, involving, affecting, or related in any way to your recruit, hiring, employment, compensation, and/or termination by or from Company, the conditions of your employment or any act or omission of Company or Company's others employees shall be resolved exclusively by final and binding arbitration before the American Arbitration Association and in accordance with the applicable rules of the American Arbitration Association. This Agreement covers all employment matters, including but not limited to matters directly or indirectly related to wrongful termination, breach of contract, discrimination, harassment, retaliation (in the whistleblower or any other context), denial of family or medical leave rights, denial of employment or retirement benefits, and any other violation of state, federal, or common law ..." (Ibid.)

Even though the subject arbitration agreement only mentions BL, BSC provided evidence demonstrating BL, at all relevant times, was registered as fictitious business name for BSC. (Mot.,

Bryan Decl. ¶ 3, Ex. B.) All of Becerra's claims arise from his employment relationship with BL or BSC, falling within the scope of the agreement. Therefore, the evidence demonstrates the existence of a binding arbitration agreement between BSC and Becerra that would apply to this action.

From February 18, 2026, through March 4, 2026, parties met and conferred regarding the arbitration agreement. Becerra refused to attend arbitration, stating the agreement was unconscionable. (Mot., Klein Decl. ¶ 4., Ex. C.) As Becerra opposes this motion and filed this action despite being on notice of the arbitration agreement, Becerra has refused to arbitrate. (See *Hyundai Amco America, Inc. v. S3H, Inc.* (2014) 232 Cal.App.4th 572, 577, in which the filing of a lawsuit against the moving party for a controversy clearly within the scope of the arbitration agreement affirmatively established the other party's refusal to arbitrate the controversy.)

BSC has met its burden of demonstrating the existence of an arbitration agreement between parties and that this action is within the scope of the arbitration agreement. BSC has also demonstrated a refusal by Becerra to arbitrate claims. BSC has met its initial burden, which now shifts to Becerra.

B. Unconscionability

Becerra argues the arbitration agreement is unenforceable, as it is procedurally and substantively unconscionable. Commonly formulated, unconscionability refers to the "absence of meaningful choice on the part of one of the parties together with the contract terms which are unreasonably favorable to the other party. [Citations.]" (*Sonic-Calabasas A, Inc. v. Moreno* (2013) 57 Cal.4th 1109, 1145.) Unconscionability has "both a procedural and a substantive element, the former focusing on oppression or surprise due to unequal bargaining power, the latter on overly harsh or one-sided results. (*Sanchez v. Valencia Holding Company, LLC* (2015) 61 Cal.4th 899, 910.) "But they need not be present in the same degree. . . . [T]he more substantively oppressive the contract term, the less evidence of procedural unconscionability is required to come to the conclusion that the term is unenforceable, and vice versa." (*Armendariz v. Foundation Health Psychcare Services, Inc.* (2000) 24 Cal.4th 83, 114.)

1. Procedural

Unconscionability

“Procedural unconscionability pertains to the making of the agreement and requires oppression or surprise. [Citations.] ‘ “ ‘Oppression occurs where a contract involves lack of negotiation and meaningful choice, surprise where the allegedly unconscionable provision is hidden within a prolix printed form.’ ” ’ [Citation]“ ‘[T]here are degrees of procedural unconscionability. At one end of the spectrum are contracts that have been freely negotiated by roughly equal parties, in which there is no procedural unconscionability.... Contracts of adhesion that involve surprise or other sharp practices lie on the other end of the spectrum.’ ” [Citation].” (Hasty v. American Automobile Assn. etc. (2023) 98 Cal.App.5th 1041, 1055.)

Becerra first argues the arbitration agreement is procedurally unconscionable as the agreement was presented on a “take it or leave it basis.” Generally speaking, if a court finds the subject contract is a contract of adhesion, the court also finds the contract procedurally unconscionable. (*Armendariz v. Foundation Health Psychcare Services, Inc.* (2000) 24 Cal.4th 83, 113.) “An adhesive contract is standardized, generally on a preprinted form, and offered by the party with superior bargaining power ‘on a take-it-or-leave-it basis.’” (*OTO, L.L.C. v. Kho* (2019) 8 Cal.5th 111, 126.)

Becerra argues the agreement was a standardized contract, presented to Becerra as a mandatory condition of his employment by his employer, a party with superior bargaining power. Courts have generally held stock pre-employment arbitration contracts are contracts of adhesion, and therefore procedurally unconscionable, as employers have greater bargaining power due to economic pressure exerted by employers on “all but the most sought-after employees,” as “few employees are in a position to refuse a job because of an arbitration requirement.” (Armendariz, supra at 24 Cal. 4th at pg. 115.) Becerra was only notified of this letter after completing the application and interview process via his employment offer letter, which did not attach a copy of the agreement. (Opp., Becerra Decl. ¶¶ 5-6, Ex.1-2.) The agreement was presented for the first time on Becerra’s first day of employment as “an express condition of [BL] considering [Becerra] for hire, hiring [Becerra] or continuing to employ [Becerra].” (Mot., Ramos Decl. ¶¶ 4-5, Ex. A.) Said situation warrants the same analysis as that in Armendariz, as the party with superior bargaining power presented a stock arbitration agreement Becerra had no choice

but to sign in order to begin his employment. By delaying knowledge of the existence and content of the arbitration agreement until late in the hiring process, Becerra may have been meaningfully denied from pursuing other employment that did not require an arbitration clause.

In response, BSC argues that an arbitration agreement being established as a contract of adhesion, alone, is insufficient to demonstrate procedural unconscionability. While it is true procedural unconscionability takes into account all factors, contracts of adhesion lie on the side of the spectrum tending towards unconscionability. BSC also argues that BSC gave notice to Becerra, in Becerra's offer letter, of the arbitration agreement. As noted previously, only offering notice without any additional context at the point in which an offer is extended is also indicative of procedural unconscionability, as Becerra may not have diligently pursued this position if aware of the requirement.

Becerra next argues the proposed arbitration rules, which Becerra was not provided prior to signing the agreements, create a substantial degree of surprise and oppression. Failure to attach a copy of the arbitration rules may indicate procedural unconscionability when the rules allegedly hid essential terms through obfuscation or legal language. (*Nguyen v. Applied Med. Resources Corp.* (2016) 4 Cal.App.5th 232, 248-249; *OTO*, supra 8 Cal.5th at 126-128.)

The facts show Becerra was never provided with a copy of the rules. The arbitration agreement stated arbitration will be administered pursuant to the applicable rules of the American Arbitration Association ("AAA"). (Mot., Ramos Decl. ¶ 5, Ex. A.) The agreement does not specify what set of rules apply. These rules were also not attached to the arbitration agreement or otherwise provided by BSC. (Opp., Becerra Decl. ¶ 10.) It is unclear if the rules hid essential terms, thus the Court cannot further evaluate if failure to attach is indicative of procedural unconscionability.

While failing to attach the arbitration rules is only procedurally unconscionable when those rules themselves are unfair, the Court may still consider failure to include the rules when considering general oppression to Becerra. (*Baltazar v. Forever 21, Inc.* (2016) 62 Cal.4th 1237, 1246.) When determining oppression to a party to a contract, courts consider: "(1) the amount of time the party is given to consider the proposed contract; (2) the amount and type of pressure

exerted on the party to sign the proposed contract; (3) the length of the proposed contract and the length and complexity of the challenged provision; (4) the education and experience of the party; and (5) whether the party's review of the proposed contract was aided by an attorney." (OTO, supra 8 Cal.5th at p. 126-127)

By

failing to 1) put Becerra on notice of the existence of the arbitration agreement until the offer letter; 2) produce a copy of the arbitration agreement until the first day of Becerra's employment; and 3) attach a copy of the arbitration rules, the Court finds very little time was given to Becerra to properly consider the proposed contract. As Becerra was only provided the contract upon his first day of work, Becerra could not have meaningfully contacted an attorney to review the contract prior to employment, despite that being a condition identified by Becerra's signature in the contract. (See Mot., Ramos Decl. ¶ 5, Ex. A.; "YOU ACKNOWLEDGE AND AGREE THAT YOU HAVE READ THIS AGREEMENT AND HAVE HAD SUFFICIENT TIME TO STUDY AND CONSIDER IT AND TO CONSULT WITH COUNSEL OF YOUR CHOICE.")

In total, the Court finds the evidence demonstrates the arbitration agreement is substantially procedurally unconscionable, as Becerra was presented with a contract of adhesion, necessary to employment, and only put on notice as to its existence at the end of the hiring process. As Becerra has shown the agreement is, at least, in part procedurally unconscionable, the Court reviews the substantive unconscionability of the agreement.

2. Substantive

Unconscionability

" 'Substantive unconscionability examines the fairness of a contract's terms.' [Citation] The substantive element of the unconscionability analysis "looks to the actual terms of the parties' agreement to 'ensure[] that contracts, particularly contracts of adhesion, do not impose terms that have been variously described as " ' "overly harsh" ' " [citation], " 'unduly oppressive' " [citation], " 'so one-sided as to "shock the conscience" ' " [citation], or "unfairly one-sided." ' " [Citation.] These formulations 'all mean the same thing.' [Citation.] Substantive unconscionability ' "is concerned not with 'a simple old-fashioned bad bargain' [citation], but with terms that are 'unreasonably favorable to the more powerful party.' " ' " [Citation.] 'The substantive component of unconscionability looks to whether the contract allocates the risks of the bargain in an objectively unreasonable

or unexpected manner.’ [Citation.] While private arbitration may resolve disputes faster and cheaper than judicial proceedings, it ‘ “may also become an instrument of injustice imposed on a ‘take it or leave it’ basis.” ’

[Citation.] ‘ “The courts must distinguish the former from the latter, to ensure that private arbitration systems resolve disputes not only with speed and economy but also with fairness.” ’ ’ (Hasty, supra 98 Cal.App.5th at pg. 1058-1059.)

Becerra first argues the agreement is substantively unconscionable as it contains an explicit waiver of right to punitive and exemplary damages. An arbitration agreement may not limit statutorily imposed remedies such as punitive damages or attorney fees. (Armendariz supra 24 Cal.4th at pg. 103.) The agreement specifically provides, “BY SIGNING THIS AGREEMENT YOU AND COMPANY ARE WAIVING ANY RIGHT, STATUTORY OR OTHERWISE, TO A TRIAL BY JURY AND TO PUNITIVE AND EXEMPLARY DAMAGES.” (Mot., Ramos Decl. ¶ 5, Ex. A.) This portion of the agreement is prima facie unenforceable and substantively unconscionable.

BSC agrees this portion is unenforceable and should be severed. The AAA rules otherwise provide for “any remedy or relief that would have been available to the parties had the matter been heard in court, as stated in Rule 39(d), Award,” which would allow Becerra to obtain punitive damages, pursuant to the binding arbitration rules. (Mot., Klein Decl., ¶5, Exhibit C, Rule 46.) Therefore, while this is indicative of substantive unconscionability, the Court will not use this as a basis to deny arbitration absent other showings of substantive unconscionability.

Becerra next argues the arbitration agreement is substantially unconscionable because it lacks mutuality. “When only the weaker party’s claims are subject to arbitration, and there is no reasonable justification for that lack of symmetry, the agreement lacks the requisite degree of mutuality.” (Hasty, supra 98 Cal.App.5th at pg. 1059.) Becerra specifically argues that the agreement does not encapsulate claims arising from Non-Disclosure, Non-Competition, and Non-Solicitation Agreements, which are generally claims solely brought by employing corporations. (Mot., Ramos Decl. ¶ 5, Ex. A.) These generally encapsulated claims based upon intellectual property violations, unfair competition, and the use of trade secrets or other confidential information.

Mercurio

v. Superior Court (2002) 96 Cal.App.4th 167 is

analogous. In *Mercuro*, the court held that the fact the arbitration agreement did not compel parties to bring claims the employer was most likely to bring against its employees was substantively unconscionable. (Id. at 175-176.) The *Mercuro* court specifically identified “claims for injunctive and/or other equitable relief for intellectual property violations, unfair competition and/or the use and/or unauthorized disclosure of trade secrets or confidential information....” as claims likely to be brought solely by the employer. (Id. at 176.) These are substantially similar to claims arising from Non-Disclosure, Non-Competition, and Non-Solicitation Agreements.

BSC argues the agreement is not unconscionable because the exceptions apply both ways, in contrast to the intellectual property claims in *Mercuro*, which could only be meaningfully brought to court by the employer. However, this still does not address that a majority of the encapsulated claims would solely be brought by BSC. “An employer may not impose a system of arbitration on an employee that seeks to maximize the advantages and minimize the disadvantages of arbitration for itself at the employee's expense,” without reasonable justification for the arrangement other than the mere desire to maximize the employer's advantage. (Armendariz, supra at 24 Cal. 4th at pg. 120.) This need not include every potential claim, but mere the majority or more likely claims. In the absence of justification, the court assumes the agreement is unconscionable. (Ibid.)

The mere fact Becerra has the right to bring non-disclosure, non-competition, and non-solicitation claims against BSC does not change the fact BSC is far more likely to bring these claims against Becerra than Becerra will bring these claims against BSC. Use of more generalized terminology does not defeat the intent or effect of the provisions of the arbitration agreement. BSC provides no explanation as to why these particular claims are carved out, indicating to the Court that it was likely done to allow BSC the benefit of forum choice.

Becerra then argues that the arbitration agreement unfairly imposes a confidentiality requirement on Becerra. The agreement states: “You shall not disclose, and shall keep strictly confidential, the contents of any testimony given or documents exchange or the evidence or contests of any award issued by the arbitrator unless disclosure is required by law.” (Mot., Ramos Decl. ¶ 5, Ex. A.) No such requirement is imposed upon BSC.

General confidentiality

agreements have been found to be substantively unconscionable. For example, in *Murrey v. Superior Court* (2023) 87 Cal.App.5th 1223, 1254, the court found a confidentiality provision as to publication of the arbitration award was substantively unconscionable because it served no purpose other than to benefit the employer, as it disallowed future employees from taking advantage of findings in past arbitrations. A one-sided confidentiality requirement clearly benefits BSC even further than a typical confidentiality clause, indicating substantive unconscionability.

Becerra also argues the

agreement is overbroad in scope, as it includes “any act or omission of Company or Company’s other employees.” (Mot., Ramos Decl. ¶ 5, Ex. A.) Such broad provisions without limitation are substantively unconscionable. (*Cook v. University of Southern California* (2024) 102 Cal.App.5th 312, 32.) BSC argues this is untrue, as the agreement is limited to claims relating to Becerra’s employment relationship. While this may have been BSC’s intent, the agreement does not have any explicit limitations as to scope. It allows “all (past, present and future) disputes...arising out of...any act or omissions of Company or Company’s employees,” to be subject to arbitration. (Mot., Ramos Decl. ¶ 5, Ex. A.) This cuts in favor of finding substantive unconscionability.

Although the agreement does

not specifically outline Becerra’s costs, the AAA rules provide that Becerra’s total filing fees are capped at \$350.00; this is not indicative of Becerra being forced to bear any type of expense Becerra would not be forced to bear if bringing the action in court. (*Armendariz*, supra, 24 Cal.4th at pg. 110–111.) Therefore, this does not indicate substantive unconscionability.

The Court finds, in total, the agreement is moderately substantively unconscionable. Large portions of the substantive unconscionability cannot be severed, such as the scope, lack of mutuality, and confidentiality provisions. As the agreement is both moderately procedurally and substantively unconscionable, the Court finds enforcement of the agreement is precluded by unconscionability. Therefore, the Court denies the motion.

V. CONCLUSION

Defendant Bergen

Shippers Corp's Motion to Compel Arbitration is DENIED.

Plaintiff Jonathan Becerra is ordered to give notice.

DATED:

August 4, 2026

Hon. Alexander C.D. Giza

Judge of the Superior Court

PLEASE TAKE NOTICE:

- Parties are encouraged to meet and confer after reading this tentative ruling to see if they can reach an agreement.
- If a party intends to submit on this tentative ruling, the party must send an email to the court at with the Subject line "SUBMIT" followed by the case number. The body of the email must include the hearing date and time, counsel's contact information, and the identity of the party submitting.
- Unless all parties submit by email to this tentative ruling, the parties should arrange to appear remotely (encouraged) or in person for oral argument. You should assume that others may appear at the hearing to argue.
- If the parties neither submit nor appear at hearing, the Court may take the motion off calendar or adopt the tentative ruling as the order of the Court. After the Court has issued a tentative ruling, the Court may prohibit the withdrawal of the subject motion without leave.

[1] Undesignated

statutory references are to the Code of Civil Procedure.